

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Millions except per share amounts and percentages) (Unaudited)

	Three Months Ended		
	March 28, 2026	December 27, 2025	March 29, 2025
Net revenue	\$ 10,253	\$ 10,270	\$ 7,438
Cost of sales	4,576	4,433	3,451
Amortization of acquisition-related intangibles	261	260	251
Total cost of sales	4,837	4,693	3,702
Gross profit	5,416	5,577	3,736
Gross margin	53%	54%	50%
Research and development	2,397	2,330	1,728
Marketing, general and administrative	1,253	1,198	886
Amortization of acquisition-related intangibles	290	297	316
Total operating expenses	3,940	3,825	2,930
Operating income	1,476	1,752	806
Interest expense	(37)	(36)	(20)
Other income (expense), net	165	358	39
Income from continuing operations before income taxes and equity income	1,604	2,074	825
Income tax provision	238	455	123
Equity income in investee	6	1	7
Income from continuing operations, net of tax	1,372	1,620	709
Income (loss) from discontinued operations, net of tax	11	(109)	-
Net income	\$ 1,383	\$ 1,511	\$ 709
Earnings (loss) per share:			
Basic earnings from continuing operations	\$ 0.84	\$ 1.00	\$ 0.44
Basic earnings (loss) from discontinued operations	\$ 0.01	\$ (0.07)	\$ -
Basic earnings per share	\$ 0.85	\$ 0.93	\$ 0.44
Diluted earnings from continuing operations	\$ 0.83	\$ 0.99	\$ 0.44
Diluted earnings (loss) from discontinued operations	\$ 0.01	\$ (0.07)	\$ -
Diluted earnings per share	\$ 0.84	\$ 0.92	\$ 0.44
Shares used in per share calculation			
Basic	1,631	1,630	1,620
Diluted	1,650	1,649	1,626

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(Millions)

	March 28, 2026	December 27, 2025
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 5,585	\$ 5,539
Short-term investments	6,762	5,013
Accounts receivable, net	6,035	6,315
Inventories	8,045	7,920
Prepaid expenses and other current assets	2,201	2,160
Total current assets	28,628	26,947
Property and equipment, net	2,723	2,312
Goodwill	25,344	25,126
Acquisition-related intangibles, net	16,154	16,705
Deferred tax assets	476	384
Other non-current assets	6,317	5,452
Total Assets	\$ 79,642	\$ 76,926
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$ 2,997	\$ 2,929
Accrued liabilities	5,785	5,250
Current portion of long-term debt, net	874	874
Other current liabilities	850	402
Total current liabilities	10,506	9,455
Long-term debt	2,350	2,348
Long-term operating lease liabilities	647	625
Deferred tax liabilities	307	313
Other long-term liabilities	1,370	1,186
Stockholders' equity:		
Capital stock:		
Common stock, par value \$0.01	17	17
Additional paid-in capital	63,856	63,365
Treasury stock, at cost	(7,421)	(7,079)
Retained earnings	8,082	6,699
Accumulated other comprehensive loss	(72)	(3)
Total stockholders' equity	64,462	62,999
Total Liabilities and Stockholders' Equity	\$ 79,642	\$ 76,926

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Millions) (Unaudited)

	Three Months Ended	
	March 28, 2026	March 29, 2025
Cash flows from operating activities:		
Net income	\$ 1,383	\$ 709
(Income) from discontinued operations, net of tax	(11)	-
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	206	175
Amortization of acquisition-related intangibles	551	567
Stock-based compensation	487	364
(Gains) losses on long-term investments, net	(66)	2
Deferred income taxes	(79)	(167)
Other	28	37
Changes in operating assets and liabilities:		
Accounts receivable, net	280	748
Inventories	(125)	(682)
Prepaid expenses and other assets	(308)	(237)
Accounts payable	(104)	(289)
Accrued and other liabilities	713	(288)
Net cash provided by operating activities of continuing operations	2,955	939
Cash flows from investing activities:		
Purchases of property and equipment	(389)	(212)
Purchases of short-term investments	(2,545)	(304)
Proceeds from maturity of short-term investments	652	365
Proceeds from sale of short-term investments	126	33
Purchases of long-term investments	(409)	(239)
Net cash used in investing activities of continuing operations	(2,565)	(357)
Cash flows from financing activities:		
Proceeds from debt and commercial paper issuance, net of issuance costs	-	2,441
Proceeds from sales of common stock through employee equity plans	5	4
Repurchases of common stock	(221)	(749)
Stock repurchases for tax withholding on employee equity plans	(134)	(30)
Net cash (used in) provided by financing activities of continuing operations	(350)	1,666
Net increase in cash, cash equivalents and restricted cash	40	2,248
Cash, cash equivalents and restricted cash at beginning of period	5,556	3,811
Cash, cash equivalents and restricted cash at end of period	\$ 5,596	\$ 6,059
Reconciliation of cash, cash equivalents and restricted cash		
Cash and cash equivalents	\$ 5,585	\$ 6,049
Restricted cash included in Prepaid expenses and other current assets	11	10
Cash, cash equivalents and restricted cash at end of period	\$ 5,596	\$ 6,059

ADVANCED MICRO DEVICES, INC.
SELECTED CORPORATE DATA
(Millions) (Unaudited)

	Three Months Ended		
	March 28, 2026	December 27, 2025	March 29, 2025
Segment and Disaggregated Revenue Information ⁽¹⁾			
Net Revenue:			
Data Center Segment	\$ 5,775	\$ 5,380	\$ 3,674
Client and Gaming Segment			
Client	2,885	3,097	2,294
Gaming	720	843	647
Total Client and Gaming	3,605	3,940	2,941
Embedded Segment	873	950	823
Total net revenue	\$ 10,253	\$ 10,270	\$ 7,438
Operating Income (Loss):			
Data Center Segment	\$ 1,599	\$ 1,752	\$ 932
Client and Gaming Segment	575	725	496
Embedded Segment	338	357	328
All other	(1,036)	(1,082)	(950)
Total operating income	\$ 1,476	\$ 1,752	\$ 806
Other Data			
Capital expenditures	\$ 389	\$ 222	\$ 212
Adjusted EBITDA ⁽²⁾	\$ 2,746	\$ 3,048	\$ 1,954
Cash, cash equivalents and short-term investments	\$ 12,347	\$ 10,552	\$ 7,310
Free cash flow ⁽³⁾	\$ 2,566	\$ 2,082	\$ 727
Total assets	\$ 79,642	\$ 76,926	\$ 71,550
Total debt	\$ 3,224	\$ 3,222	\$ 4,164

See footnotes on the next page

(1) The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, microprocessors (CPUs) for servers, graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), AI Network Interface Cards (AI NICs), Field Programmable Gate Arrays (FPGAs) and adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, chipsets for desktops and notebooks, discrete GPUs, and semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, APUs, FPGAs, System on Modules (SOMs), and adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, and acquisition-related and other costs.

(2) **Reconciliation of GAAP Net Income to Adjusted EBITDA**

(Millions) (Unaudited)	Three Months Ended		
	March 28, 2026	December 27, 2025	March 29, 2025
GAAP net income	\$ 1,383	\$ 1,511	\$ 709
Interest expense	37	36	20
Other (income) expense, net	(165)	(358)	(39)
Income tax provision (benefit)	238	455	123
Equity income in investee	(6)	(1)	(7)
Stock-based compensation	487	486	364
Depreciation and amortization	206	194	175
Amortization of acquisition-related intangibles	551	557	567
Acquisition-related and other costs	26	50	42
Loss contingency on legal matter	-	9	-
(Income) loss from discontinued operations, net of tax	(11)	109	-
Adjusted EBITDA	\$ 2,746	\$ 3,048	\$ 1,954

The Company presents "Adjusted EBITDA" as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, acquisition-related and other costs, loss contingency on legal matter, and (income) loss from discontinued operations, net of tax. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company's calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

(3) **Reconciliation of GAAP Net Cash Provided by Operating Activities of Continuing Operations to Free Cash Flow**

(Millions except percentages) (Unaudited)	Three Months Ended		
	March 28, 2026	December 27, 2025	March 29, 2025
GAAP net cash provided by operating activities of continuing operations	\$ 2,955	\$ 2,304	\$ 939
Operating cash flow margin % from continuing operations	29%	22%	13%
Purchases of property and equipment	(389)	(222)	(212)
Free cash flow	\$ 2,566	\$ 2,082	\$ 727
Free cash flow margin %	25%	20%	10%

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities of continuing operations for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company's calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data) (Unaudited)

	Three Months Ended		
	March 28, 2026	December 27, 2025	March 29, 2025
GAAP gross profit	\$ 5,416	\$ 5,577	\$ 3,736
GAAP gross margin	53%	54%	50%
Stock-based compensation	8	8	5
Amortization of acquisition-related intangibles	261	260	251
Acquisition-related and other costs ⁽¹⁾	-	1	-
Loss contingency on legal matter	-	9	-
Non-GAAP gross profit	\$ 5,685	\$ 5,855	\$ 3,992
Non-GAAP gross margin	55%	57%	54%
GAAP operating expenses	\$ 3,940	\$ 3,825	\$ 2,930
GAAP operating expenses/revenue %	38%	37%	39%
Stock-based compensation	479	478	359
Amortization of acquisition-related intangibles	290	297	316
Acquisition-related and other costs ⁽¹⁾	26	49	42
Non-GAAP operating expenses	\$ 3,145	\$ 3,001	\$ 2,213
Non-GAAP operating expenses/revenue %	31%	29%	30%
GAAP operating income	\$ 1,476	\$ 1,752	\$ 806
GAAP operating margin	14%	17%	11%
Stock-based compensation	487	486	364
Amortization of acquisition-related intangibles	551	557	567
Acquisition-related and other costs ⁽¹⁾	26	50	42
Loss contingency on legal matter	-	9	-
Non-GAAP operating income	\$ 2,540	\$ 2,854	\$ 1,779
Non-GAAP operating margin	25%	28%	24%

	Three Months Ended					
	March 28, 2026		December 27, 2025		March 29, 2025	
GAAP net income / earnings per share	\$ 1,383	\$ 0.84	\$ 1,511	\$ 0.92	\$ 709	\$ 0.44
Stock-based compensation	487	0.30	486	0.29	364	0.22
Amortization of acquisition-related intangibles	551	0.33	557	0.34	567	0.35
Acquisition-related and other costs ⁽¹⁾	27	0.02	50	0.03	42	0.03
Loss contingency on legal matter	-	-	9	0.01	-	-
(Gains) losses on long-term investments, net	(66)	(0.04)	(280)	(0.17)	2	-
Equity income in investee	(6)	-	(1)	-	(7)	-
Income tax provision	(100)	(0.07)	78	0.04	(111)	(0.08)
(Income) loss from discontinued operations, net of tax ⁽²⁾	(11)	(0.01)	109	0.07	-	-
Non-GAAP net income / earnings per share	\$ 2,265	\$ 1.37	\$ 2,519	\$ 1.53	\$ 1,566	\$ 0.96

⁽¹⁾ Acquisition-related and other costs primarily include transaction costs, purchase price fair value adjustments for inventory, certain compensation charges, and workforce rebalancing charges.

⁽²⁾ (Income) loss from discontinued operations relates to ZT Systems' manufacturing business which was divested in the fourth quarter of 2025, and includes impact from measurement period adjustments.